83d Congress, 1st Session - - - House Document No. 83-239, Vol. V
83d Congress, 2d Session - - - House Document No. 83-509, Vol. V
84th Congress, 1st Session - - - House Document No. 84-235, Vol. V

# Foreign Relations of the United States 1952-1954

## Volume V

## Western European Security

(in two parts)

Part 2




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mutually satisfactory solution in near future in spite of difficulties that can be foreseen. I stressed to him importance of careful preparation, which I feel is not yet adequate, in advance of nine-power meeting to insure basis for positive accomplishment consistent with continued progress toward genuine European unity which can alone command unreserved support of your Government and mine. Eden is hopeful that Mendes-France will concur in NATO–Brussels Pact solution acceptable to other governments consulted, but awaits more specific information promised by Mendes-France in next few days, which I understand will also be communicated to all the other interested governments.

With kindest regards, FOSTER DULLES

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740.5/9–1854

*The Secretary of State to the President* [1]

TOP SECRET WASHINGTON, September 18, 1954.

[MY DEAR MR. PRESIDENT:] I had a very friendly and useful stop in London. I first lunched privately with Churchill and Eden. The Prime Minister was in fine shape and sent you his best. He expressed his relief that the "EDC tomfoolery" was over. He said he had only supported it because you wanted it but had never had faith in it. Now we could get German armies to march by our side instead of having a "sludgy amalgam".

Then we had meeting at Foreign Office first on Europe, then on China.

I was disappointed that Eden has not arrived at anything concrete, even in general principles. It seems that Mendes-France has been most evasive. He may be working out his own project on terms which profess to provide for sovereignty of Germany in NATO but attaching conditions unacceptable to Germany, U.S. and perhaps others. He could present these French terms at prospective London Conference and, if they are not accepted, attempt to pass blame to others. This was his Brussels Conference tactic. I find evidence of a rising tide of concern about Mendes-France's Russian contacts. He has killed EDC at least for now and he may be out to kill German admission to NATO.

I said I would attend London Conference. Eden wants September 28. I set in motion some preliminary planning to try to smoke out Mendes-France and concert UK–US thinking before Conference opens. I am reluctant to go into a major conference where there is so little prepara-

[1] This message was sent by telegram to President Eisenhower at the Summer White House in Denver, Colo.

tory work. But Eden thinks it necessary to maintain momentum and avoid vacuum. We are agreed a NATO Ministerial meeting would follow after short interval devoted to further preparation in detail.

On the China matter, we met on restricted basis.[2] Eden listened with intense interest but was totally non-commital which was natural. He remarked that US action to defend Formosa was understandable and would have wide approval but that the same was not true of Quemoy and other islands near the mainland. I explained large psychological and lesser material relationship of these islands to Formosa but I fear he was not totally convinced. He will let me know shortly his views re appeal to UN.

I am spending weekend on my island and then shall go to NY for UN opening.

Faithfully yours, FOSTER

[2] Documentation concerning China is presented in volume XIV.

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740.5/9–1954: Telegram

*The Ambassador in France (Dillon) to the Department of State*[1]

SECRET PARIS, September 19, 1954—1 p. m.

1175. Department pass Defense. Department for Secretary. Noform. From Reinhardt. Following message from General Gruenther:

"I met Mendes-France at Marly for one hour Saturday night, with Parodi present. He stated Eden had informed him Thursday of some of my ideas on controls and he desired develop this subject further. He continued: 'As you may know our approach to subject of German rearmament is somewhat different from our British friends.' He explained that when EDC presented to French public, German admission to NATO was pictured as undesirable solution. French Parliament still considers NATO unacceptable and will be difficult task convert them. That is why so necessary to build up Brussels treaty aspect and stress it constantly in presentation to French.

"He said Brussels organization must have certain important functions but essential there be no duplication in military field. How could SHAPE assist?

"I told him of logistic controls we could execute and explained with chart our possible contribution with respect to pipeline operation. I also showed how we could assist in control of supplies. Mendes said all this important and helpful but that it was in purely military operational role. Problem is mainly political one. He wanted agency to control armament manufacture and conduct inspections to insure that military equipment not being manufactured or stored illegally. He wants NATO Commander to report to Brussels organization in performing this mission. He said French still distrustful of Germans and must be assured that unauthorized German build-up cannot take place.

[1] Repeated to Bonn for Conant, Rome for Murphy, and London for Aldrich.

396.1 WA/7–753 : Telegram

*The Ambassador in the United Kingdom (Aldrich) to the Department of State* [1]

SECRET LONDON, July 7, 1953—5 p. m.

100. Following is our best judgment British position on topics likely to be discussed in Washington. We limit ourselves to attempting to convey British atmosphere, preoccupations, and reasoning. We make no attempt in this telegram to assess their validity.

1. *Western unity*

British view with concern signs of slackening in Western unity, including growing evidence of priority in Western German thinking to reunification over Western integration, French balkiness over EDC as evidenced most recently by Socialist insistence on impossible US guarantees, new doubts of Italian ratification, growth of neutralism and wishful thinking as to Soviet policy, and cutback of defense effort in all Western powers. They hope that the strongest possible reaffirmation of Western unity and purpose can come out of Washington meetings.

2. *NATO*

British consider NATO cornerstone of Western policy and essential to Western security. They want the strongest possible reaffirmation of continued Western adherence to this concept and Western determination to continue building on this foundation to come out of Washington conference. They have been concerned by implications Senator Taft's recent remarks about termination of military aid [2] which seem to raise question as to US determination to stick by NATO and particularly raise doubts as to implementation Article 3 of NATO treaty. It is quite possible that Salisbury will mention these misgivings in Washington.

3. *EDC*

British are all-out in their determination that EDC must be brought into force. They are prepared to join US in confronting French with basic realities of their position, namely, that it will be impossible to maintain *status quo* in Germany much longer, that US and UK will not lend themselves to any French effort to keep Germany divided and under occupation, and that only alternative to a Germany rearmed under EDC is a Germany rearmed independently and subject to weaker

[1] This telegram, which was transmitted in three sections, was repeated to Paris, Bonn, and Moscow.

[2] In a press interview on July 4, Senator Taft had stated that he believed Congress was through with foreign aid unless there was a big change in the world. Regarding Taft's remarks on foreign aid, see the *New York Times*, July 5, 1953, p. 1.

ties with West and less satisfactory safeguards against remilitarization and possible deal with Soviets. We believe that British would be prepared to join US in a strong attempt to pin French down to firm timetable. They are not prepared to consider alternatives to EDC until US and UK have exhausted every possibility of getting French ratification. They are not prepared to accede to possible French insistence on four-power talks prior to ratification. They are not yet prepared to admit that EDC is unattainable.

4. *Four-power talks*

Salisbury will confine himself in Washington to trying to keep door open for possibility four-power "fishing expedition" talks along lines Churchill's proposal May 11.[3] Whether British will press Churchill's proposal when and if a "Bermuda meeting" is held, will depend on situation at that time. But this should not be interpreted as willingness to let Churchill proposal die of neglect. They feel very strongly that if at any time Western powers have to make any hard decisions, such as facing up to possibility of war, or even continued heavy burden of armaments, there is very great danger that we may not be able to bring public opinion along with us unless Soviet intentions have been thoroughly tested. As indicated below, they do not think that Soviet strategy has changed or that Kremlin is prepared to yield anything of substance. They therefore believe that four-power talks will end in failure and they regard this as their chief merit and as essential to consolidating Western public opinion behind maintenance of policy of strength and firmness toward Soviet Union. The only exception to this is the lingering belief of P.M. that contact at highest level with his personal participation might produce some easing of tension and progress toward better relationship with USSR. Churchill speech clearly caught temper of public opinion in Britain and Western Europe and the events in East Berlin, the changes in Hungary,[4] the new moderation in Soviet domestic policy, and the prospects of truce in Korea have all fed the public mood of wishful thinking which in British view makes it essential that in the not-too-distant future the Kremlin be put to the test of four-power talks. Failing such a demonstration they fear that neutralism and infirmity of purpose will grow in the West with consequences that could ultimately be disastrous. But as to timing, they are definite that German elections and French ratification EDC must come first.

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[3] For the text of Prime Minister Churchill's speech to the House of Commons on May 11, see *H.C. Debs.*, 5th series, vol. 515, cols. 883–898.

[4] Presumably this is a reference to the election of a new politburo of the Central Committee of the Workers Party in Hungary at the end of June and to the formation of a new government under Imre Nagy on July 4. Further documentation on these developments is presented in volume VIII.

5. *Germany*

One of principal British objectives at Washington will be to (*a*) "confirm and reaffirm publicly our existing policies toward Germany" and (*b*) "continue our support of Adenauer in pursuit of those policies." British think it likely Adenauer will be in power another four years as result of elections, though coalition may be oriented more to right if, as they foresee, he has to take in refugee party.

6. *Korea*

On assumption that there will be an armistice, British will urge that India be included in "special status" in political conference to follow, because of India's importance as Asian nation and its contribution to bringing about armistice. British assume some sort of *de facto* temporary division of Korea must be accepted, without sacrificing UN's declared objective of unification by peaceful means. They would not exclude consideration of other Far Eastern issues at such conference provided Communists show good will and desire to reach reasonable compromise on problems relating to Korea. They think that West must give Chinese Communists some hope of eventual admission to UN. If political conference is successful they anticipate that trade with China would be put on same level as trade with USSR and they think we should be ready, acting in close consultation, to make some trade concessions to Chinese Communists in return for concessions from them in other fields. British do not wish to commit selves indefinitely to present level of controls. They agree that Formosa must be kept out of Chinese Communist hands and cannot be used as bargaining counter. They expect French to insist on putting Indochina on agenda of political conference. If an armistice has not been reached by time they get to Washington they will probably press for convocation of General Assembly.

7. *Indochina*

British will express pessimistic view of military and political situation in Indochina which they think can only result in further deterioration and perhaps disaster if allowed to drift much longer. While conscious of their minor role and of limited assistance they can give, they will urge need for more aggressive military action concurrent with concrete proof French readiness concede widest autonomy within French Union. They think recent offer of new French Government[5] has probably come too late, and that it does not go far enough; it will certainly not satisfy Cambodia, and in fact it merely is an offer to negotiate full implementation of something promised over 4 years

[5] On July 3, the French offered to begin simultaneous but separate negotiations with the three Associated States for a review of their status within the French Union. Documentation on the situation in Indochina is presented in volume XIII.

ago (March 8, 1949 agreements). They will probably follow our lead in any representations to French along these lines. They hope O'Daniel's recommendations will have been received in time for consideration at conference.[6]

8. *Egypt*

British are likely to maintain that no agreement possible with Egypt unless United States and United Kingdom firmly support common line of action. They will undoubtedly press for essentials of Case A [7] as basis of United States–United Kingdom agreement relying on Robertson belief that Case A can be obtained with concessions of form and arguing that it cannot be said that Case A is unobtainable, since British never got to point of putting details to Egyptians during last negotiations, so that we do not know Egyptian reactions. British probably will not agree to take initiative in reopening negotiations, but will probably be willing for United States try to bring parties together provided United States and United Kingdom can agree to common line of action.

In any new negotiations with Egypt, though probably not as initial position, British might be willing make some concessions which would move Case A substantially toward Case B, including:

(1) Agreement valid for 5 years;
(2) 3,000 to 4,000 British technicians;
(3) Technicians under Egyptian command, but subject British technical control;
(4) Certain equipment from base might be available for use of Egyptian army free of charge.

British will probably stand adamant on following points:

(1) Total number British technicians agreed with Egypt must remain on base for duration of agreement, there being no question of their gradual replacement by Egyptians as latter are trained fulfill their functions.
(2) Technicians must be subject to direct technical control by War Office and receive instructions directly.

There will be no objection to simultaneous notification of Egyptian authorities, with provision for consultation if latter question any orders.

(3) Technicians must wear uniforms and be free carry sidearms. (In last analysis British would probably not insist on uniforms.)
(4) Egyptians must guarantee re-access to base in event of war or threat of war by outside power affecting ME areas.

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[6] Documentation relating to the recommendations of Lt. Gen. John W. O'Daniel, head of the U.S. Military Assistance Advisory Group in Vietnam, is presented in volume XIII.

[7] Documentation on the three British proposals for settling the Anglo-Egyptian dispute, Cases A, B, and C, is presented in volume IX.

British will probably also ask for reaffirmation of US undertakings about supply of arms to Egypt. They will undoubtedly make strongest effort to get assurances of a continuing common front toward Egyptians.

9. *Middle East oil policy*

British considering raising subject of ME oil policy. They continue feel strongly that some means must be found to permit US and UK oil companies to consult directly or indirectly regarding proposed solutions to similar problems in ME. They are also anxious establish some medium for regular US–UK Government consultations, both on specific problems relating to ME oil and for purpose developing agreed oil policy for area.

10. *Buraimi*[8]

British are likely make strong plea for US support for complete mutual withdrawal from Buraimi area with neutral supervision during period of arbitration. Alternatively, if Saudis adamant, British might agree to maintenance of *status quo* in area with mutual undertakings refrain from aggressive acts. They are likely strongly to oppose Saudi suggestion for equalization of forces or any other solution which involved Turki's[9] remaining in Buraimi while UK withdrew substantial forces.

11. *Evolution of Soviet policy and situation in satellite countries*

British believe new Soviet tactics do not indicate any change in basic Kremlin objectives, which remain: In short term disruption of Western alliance and promotion revolution in colonial territories, in long run, establishment its brand Communism in Soviet Union and its extension, under Moscow domination, throughout world. They do not believe that new tactics impelled by feeling of weakness, either at home or abroad. New leadership seems plainly collective and although possibility of discord not excluded no evidence yet that it will not maintain unity and control over Soviet and satellite structures. Also seems to be no reason for it to think that it is any more imminently threatened by Western strength than for some time past. Nevertheless, British believe that Soviet has been undergoing period of relative stress, both before and since Stalin's death. New regime assumed power smoothly and without apparent difficulty, but its first concern has been consolidate position at home and with satellite countries. For this, it may wish respite from tension, both at home and abroad, and to obtain this it is trying tactics both more flexible and more cautious than Stalin's. Internally these shown in measures of relative moderation toward Soviet peoples. In external affairs Soviets have now put for-

[8] Documentation on the U.S. interest in the Anglo-Saudi dispute over Buraimi is presented in volume IX.

[9] Turki bin Ataishan, the Amir of Buraimi.

ward considerable number minor conciliatory gestures which, though sacrificing nothing of vital interest, seem designed to try to relax tension.

Furthermore, Soviet may well, and with reason, reckon that more subtle approach in foreign policy will not only be safer but better calculated divide Western Governments and lull people of West into false sense of security. New tactics may be directed to this end.

This presents West both with opportunity and caution. We should overlook no opportunity to meet Soviet conciliatory moves, on chance we may be able reach agreement specific issues. We should avoid any unnecessary provocation. But we must continue improve our united strength. Firmness on part of West over long period of time might make it more difficult for Soviet revert to earlier aggressive tactics and compel them to negotiate on issues of real substance.

British consider that recent disturbances in Eastern Germany and other satellites, and fact that Soviets had to use troops to control uprisings in Germany, have been serious setback to them. They think these events show stronger potential for resistance and of instability in satellite area than previously supposed. They do not however believe that Soviet control is shown to be any less secure. Danger to dictatorship in relaxing grip has been demonstrated but this does not mean "Soviet power crumbling".

British now believe that new Soviet policy of greater moderation in Eastern Germany is primarily tactical maneuver with view to effect on Western Germany and our own efforts integrate German strength into Western alliance. They do not believe that Soviets contemplate any real loosening of hold on Eastern Germany or intend to modify terms for settlement of German problem. In easing pressure on East Germany Soviets may have decided take calculated political risk. As it turned out maneuver got out of hand; their prestige throughout satellites suffered severe blow and they were probably set back in efforts confuse and divide Western Germany. They were faced with dilemma of whether to continue new tactic of moderation or reimpose most severe repression. Their actions thus far seem to indicate that they intend continue measures of economic moderation in Eastern Germany.

Reason for change of government and announcement of concessions to people in Hungary have not yet been appraised by British.

Please have copy available for Ambassador Aldrich when he arrives Washington.[10]

ALDRICH

[10] On July 8, Holmes reported that the positions outlined in paragraphs 1 through 5 and paragraph 11 had been approved by the Cabinet and Prime Minister Churchill, while paragraphs 6 and 7 had at least ministerial approval (telegram 140 from London; 396.1 WA/7–853).